

MONTHLY SNAPSHOT

\$182,400 GROSS REVENUE	50.6% GROSS MARGIN	\$18,886 NY EXCISE TAX	\$9,093 280E MONTHLY PENALTY
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280E is costing this business an estimated \$109,116 per year in additional federal tax above what a non-cannabis retailer with the same P&L would pay. The only legal mitigation is COGS optimization — understanding exactly where margin goes is the first step.

280E FEDERAL TAX IMPACT ANALYSIS

Under IRC §280E, cannabis businesses may only deduct **Cost of Goods Sold** from federal taxable income. Rent, payroll, marketing, and utilities are non-deductible. The comparison below shows the monthly cost of this restriction vs. an equivalent non-cannabis retailer.

NORMAL BUSINESS — NO 280E		CANNABIS RETAILER — 280E APPLIES	
Gross Revenue	\$182,400	Gross Revenue	\$182,400
Less: COGS	(\$90,020)	Less: COGS (only)	(\$90,020)
Gross Profit	\$92,380	Taxable Income	\$92,380
Less: Rent	(\$11,500)	Rent — not deductible	\$11,500
Less: Payroll	(\$24,000)	Payroll — not deductible	\$24,000
Less: Other OpEx	(\$7,800)	Other OpEx — not deductible	\$7,800
Taxable Income	\$49,080		
Federal Tax @ 21%	\$10,307	Federal Tax @ 21%	\$19,400

\$9,093 MONTHLY 280E PENALTY	\$109,116 ANNUAL 280E PENALTY	23.7% NON-DEDUCTIBLE OPEX % REV
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WHAT THESE NUMBERS MEAN IN PRACTICE

10.6% EFFECTIVE FEDERAL TAX RATE ON REVENUE Under 280E, federal tax represents 10.6% of gross revenue. A normal retailer at the same revenue and cost structure would pay roughly 5.7%. The difference is 280E — and it compounds every month.	\$43,300/mo OPERATING EXPENSES — ZERO TAX BENEFIT Every dollar of rent, payroll, marketing, and utilities is paid from after-tax dollars. That is \$519,600/year generating no federal deduction. Legitimate COGS reclassification is the only structural lever available.	\$23,712/mo RETAIL TAX — NOT YOUR MONEY \$23,712/month flows through your register as the 13% retail cannabis tax (9% state + 4% NYC). This is not revenue — it belongs to the state. Late remittance triggers penalties and puts your license at risk.
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Illustrative synthetic data modeled on a single-location NYC recreational cannabis retailer. Not actual client data. Federal tax at 21% C-Corp rate. 280E analysis assumes standard C-Corp structure. Not tax or legal advice — consult a licensed CPA. · Prepared by Mboya Jeffers · mboyajeffers@gmail.com · (646) 619-6303

NY CANNABIS TAX — TWO MECHANISMS, TWO OBLIGATIONS

New York imposes cannabis taxes at two separate levels. Confusing them leads to incorrect P&L analysis.

DISTRIBUTOR-LEVEL EXCISE — ALREADY IN YOUR COGS		RETAIL CANNABIS TAX — COLLECTED FROM CUSTOMERS	
Who pays it	Your distributor	Who pays it	Your customer
How it hits you	In your COGS	How it hits you	You collect, then remit
Flower / Pre-Rolls	\$0.005 / mg THC	NY State	9%
Concentrates	\$0.025 / mg THC	NYC Local	4%
Edibles / Beverages	\$0.030 / mg THC	Combined rate	13%
Est. in monthly COGS	\$18,886	Est. monthly remittance	\$23,712

\$23,712/month in retail tax flows through your register and belongs to the state. This is not margin — but it is a cash flow obligation. Missing or late remittance triggers penalties and license risk.

PRODUCT ANALYSIS — MARGIN & EXCISE BURDEN BY CATEGORY

COGS reflects your actual wholesale cost including the distributor-level excise. The last two columns show the estimated excise component and what share of each category’s COGS it represents — explaining why concentrate margins are structurally thinner than flower.

CATEGORY	REVENUE	COGS	GROSS MARGIN	EST. EXCISE IN COGS	% OF COGS
Flower	\$65,000	\$26,000	60.0%	\$6,120	23.5%
Pre-Rolls	\$28,000	\$14,000	50.0%	\$1,167	8.3%
Concentrates	\$37,000	\$22,200	40.0%	\$8,734	39.3%
Edibles	\$22,000	\$11,000	50.0%	\$2,640	24.0%
Beverages	\$9,000	\$4,500	50.0%	\$225	5.0%
Accessories	\$12,000	\$4,800	60.0%	—	—
Other	\$9,400	\$7,520	20.0%	—	—
TOTAL	\$182,400	\$90,020	50.6%	\$18,886	21.0%

Concentrates: nearly 40% of wholesale cost is NY excise. A 40% margin on concentrates is structurally equivalent to 55%+ on flower — the excise is the gap. Product mix and vendor negotiation should be driven by post-excise margin, not sticker margin.

Distributor-level excise estimated from product THC content assumptions (flower 24%; concentrates 85%; pre-rolls 20%; edibles 100mg/unit avg; beverages 10mg/unit avg). Actual excise embedded in COGS is determined by distributor invoices and Metrc records. NY excise rates per NYS Cannabis Law §492-b (2023). Retail tax: 9% NYS + 4% NYC per NYC Admin. Code §11-2102. Retail remittance estimated on gross revenue — actual pre-tax base may vary. · Prepared by Mboya Jeffers · mboyajeffers@gmail.com · (646) 619-6303

CHANNEL PERFORMANCE — IN-STORE · CURBSIDE · DELIVERY

Revenue looks different by channel — so does margin. Delivery carries additional labor and vehicle costs that compress effective margin significantly. The table below shows estimated performance by fulfillment channel.

CHANNEL	REVENUE	REVENUE MIX	AVG TICKET	TRANSACTIONS	EFF. MARGIN
In-Store	\$118,560	65.0%	\$55	2,156	50.0%
Curbside	\$36,480	20.0%	\$62	588	46.0%
Delivery	\$27,360	15.0%	\$82	334	38.0%
TOTAL	\$182,400	100.0%	—	3,078	—

Delivery carries the highest avg ticket (\$82) but the lowest margin (38%) — 12 points below in-store. At \$27,360 monthly delivery revenue, that margin gap costs an estimated **\$3,283 per month** vs. equivalent in-store volume. The lever is not cutting delivery — it is route density, minimum order thresholds, and delivery-labor allocation by zone.

WHAT THIS SYSTEM GENERATES FROM YOUR DATA

This report was built on synthetic benchmarks. Run from your actual Metrc and POS exports, it produces the same analysis with your real numbers — no system access required.

REPORT	WHAT IT SHOWS	FREQUENCY
Financial Clarity	280E impact, excise by SKU, margin by category, channel performance	Monthly
Weekly Operations	Revenue vs. prior week, top/bottom SKUs, inventory velocity, shrink flags	Weekly
Compliance Summary	Excise reconciliation, Metrc integrity check, license audit readiness	Monthly

To generate this report with your actual numbers: provide a Metrc CSV export and a POS sales export for any recent month. Your data stays with you — I run the analysis and return the finished PDF. First report turnaround: 48–72 hours.

All figures in this report are illustrative and synthetic, modeled on publicly available benchmarks for single-location NYC recreational cannabis retailers. Not actual client data. Not tax, legal, or financial advice. NY excise rates per NYS Cannabis Law §492-b (2023). IRC §280E analysis is illustrative only — consult a licensed CPA for your specific tax position. · Prepared by Mboya Jeffers · mboyajeffers@gmail.com · (646) 619-6303 · Generated June 16, 2026